

9-3 Disposal of Fixed Assets

Fixed assets that are no longer useful may be discarded or sold. In such cases, the fixed asset is removed from the accounts. Just because a fixed asset is fully depreciated, however, does not mean that it should be removed from the accounts.

Objective 3 - Journalize the disposal of fixed assets.

If a fixed asset is still being used, its cost and accumulated depreciation should remain in the ledger even if the asset is fully depreciated. If the asset was removed from the ledger, the accounts would contain no evidence of their continued existence. In addition, cost and accumulated depreciation data on such assets are often needed for property tax and income tax reports.